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HFMWeek Asia Hedge Fund Awards 2019 Winner Long/short equity Greater China overall Greenwoods China Healthcare Fund

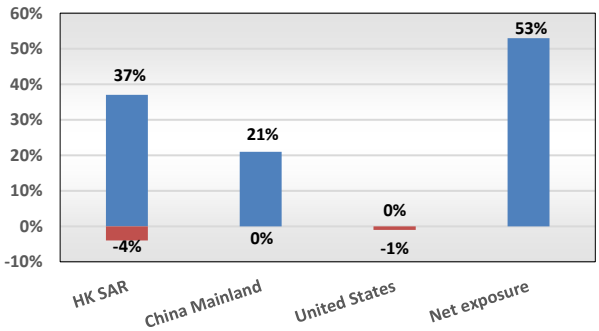
"Asiahedge China Fund of the Year 2018" award

Greenwoods China Healthcare Fund 景林中国医药健康基金月报

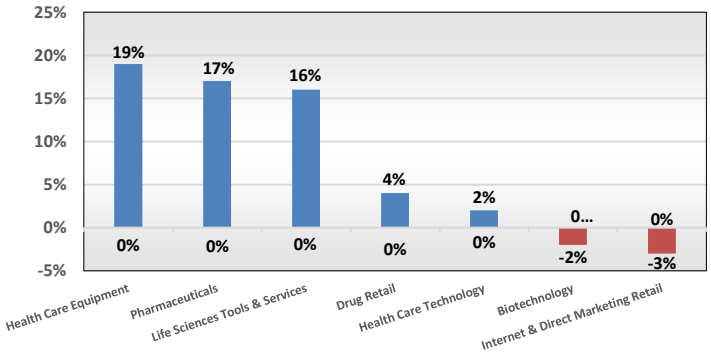
Monthly Highlight (月度表现概览)

Performance Statistics Analysis (%)	Greenwoods China Healthcare Fund Tranche A Shares	Greenwoods China Healthcare Fund Tranche C/D Shares	MSCI China Healthcare
Monthly Performance (Dec-21)	0.96%	0.96%	-10.39%
Year-to-Date Return	-7.21%	-7.21%	-19.23%
Net Return Since Inception (Jun 2015)	156.32%	156.32%	51.56%
Annual Compounded Return (since Jun 2015)	15.37%	15.37%	6.52%
Beta (correlation)	-	-	0.43
Sharpe Ratio	0.73	0.73	0.19
Sortino Ratio	1.21	1.21	0.47

Portfolio Breakdown by Market (投资组合市场配置)



Portfolio Breakdown by Sub-sector (股票组合子行业分布)*



Based on definition of GICS Sector - Sub-Industries

Portfolio Summary（组合概况）

Long/short statistics (多空仓位)		Top 3 Sub-sectors (long positions only) (多仓前 3 大子行业)
Long Securities	58%	Health Care Equipment
Short Securities	5%	Pharmaceuticals
Net exposure	53%	Life Sciences Tools & Services

Monthly Net Performance (%) of Greenwoods China Healthcare Fund (Tranche A Shares) (景林中国医药健康基金 A 类别月度净收益率)

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD(年迄今)	MSCI China Healthcare YTD(年迄今)	Since Inception	MSCI China Healthcare Since Inception
2021	-0.85	-3.41	-5.13	10.71	2.00	-0.61	-6.05	-4.23	-3.65	0.94	3.02	0.96	-7.21	-19.23	156.32	51.56
2020	-0.09	9.53	-14.16	4.23	7.58	12.81	-5.59	-0.95	-0.86	1.03	3.41	6.45	22.52	60.99	176.22	87.64
2019	-1.78	13.09	12.29	-0.02	-5.39	6.43	-0.98	2.34	-0.11	1.22	2.71	1.93	34.70	37.60	125.44	16.56
2018	7.44	0.31	10.48	-1.06	12.19	-3.40	-4.40	-1.46	-2.41	-9.09	5.90	-0.24	12.72	-27.13	67.36	-15.30
2017	-1.67	0.27	1.55	2.87	5.06	-0.18	-0.66	3.58	9.35	9.70	7.92	9.64	57.75	56.38	48.48	16.24
2016	-15.09	-3.26	6.18	1.99	-1.23	1.32	3.26	2.86	1.42	-0.95	1.46	-3.74	-7.24	-5.90	-5.88	-25.67
2015	-	-	-	-	-	0.53	-1.11	-4.49	-0.64	7.21	-1.76	2.13	1.47	-21.01	1.47	-21.01

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Sub-sectors of Top 5 positions（前 5 大持仓的子行业）

Top 5 longs（前 5 大多仓）	Top 5 shorts(前 5 大空仓)	Top 5 Gainers（前 5 业绩贡献）	Top 5 Losers（前 5 业绩拖累）
Life Sciences Tools & Services	Internet & Direct Marketing Retail	Biotechnology (Short)	Life Sciences Tools & Services (Long)
Health Care Equipment	Biotechnology	Pharmaceuticals (Long)	Health Care Supplies (Long)
Pharmaceuticals	Biotechnology	Drug Retail (Long)	Health Care Equipment (Long)
Pharmaceuticals	Biotechnology	Health Care Equipment (Long)	Life Sciences Tools & Services (Long)
Drug Retail	Health Care Technology	Biotechnology (Short)	Pharmaceuticals (Long)

Monthly Review & Outlook (月度回顾和前景展望)

The net return of Greenwoods China Healthcare Fund Tranche A is **0.96%** for December 2021 and **-7.21%** year-to-date, which is the same for Tranche C and D. During the period, the monthly and YTD return was **-10.39%** and **-19.23%** for the MSCI China Healthcare Index, respectively.

Portfolio Review and Outlook

In December, China's pharmaceutical and healthcare stocks saw a significant correction. The MSCI China Health Care Index tumbled more than 10% during the month following a report that the US Department of Commerce would add more Chinese firms, including some Chinese biotech companies, to investment and export blacklists, and a US FDA official expressed concerns over data of China-developed drugs provided during the review of a Chinese innovative drug's approval. For the full year 2021, MSCI China Health Care Index fell 19%, or an approximate 35% decline in 2H 2021, making it one of the worst-preforming sectors in the world. Notwithstanding a very challenging market environment, the Fund achieved a positive return in December, which once again proved its downside protection capability in a volatile market.

As mentioned previously, we continue to be highly cautious about the biotech and CRO stocks due to their stretched valuations and over-crowded institutional holding. We even took actions to place a few short positions. Both of these actions are the major contributors to our positive returns in November and December despite the market sell-off. In addition, our Fund has always adhered to building a well-diversified portfolio, therefore, even when the traditional Chinese medicine sector was struggling, we continue to hold certain traditional Chinese medicine names with high quality and low valuation. In December, the National Medical Products Administration (NMPA) and The Nation Healthcare Security Administration (NHSA) successively rolled out policies to support the development of traditional Chinese medicine. These companies have drawn a lot of attention, resulting in a long-awaited rebound. Our relevant positions also benefited from this.

Looking back in 2015 and 2018 where the pharmaceutical and healthcare sector had changed between bull and bear market, the benchmark tumbled over 50% respectively, caused by events such as clinical data verification in 2015 and the launch of Group Purchasing Organisation (GPO) programme in 2018, in addition to macro and monetary policy changes, such as the Fed's rate hike in 2015 and the balance sheet shrinking in 2018. Nonetheless, the pharmaceutical and healthcare sector had an approximate 50% rebound respectively in the following year.

Looking ahead into 2022, we see many interesting opportunities in Hong Kong-listed pharmaceutical names, especially after previous year's sharp correction. Valuation of some sector leaders with long-term growth potential is already close to our target price range. We will continue to monitor the market closely and once we believe the market has priced in the risks of monetary policy shift, we will gradually add positions to capture the next round of bull market in the China healthcare space for our investors.

Fund Strategy（基金策略）

Greenwoods China Healthcare Fund's principal investment objective is to seek to achieve attractive absolute long-term returns by employing a fundamental approach, through long and short investments in China-related equity securities in the healthcare and medical industry.

The Manager expects to focus primarily on long-biased opportunities in the equity securities of healthcare companies that are headquartered or principally engaged in business in, generating a substantial portion of their revenues from, or substantially impacted by developments within China. The Manager may invest in the equity securities of issuers that are organized or listed within or outside of China, including Hong Kong SAR, Singapore, Taiwan, and the U.S., on an opportunistic basis and/or if the Manager considers China to be a significant driver of the security's prospects.

Greenwoods adopts a combination of bottom-up and top-down approaches, and aims to implement both long and short strategies and trading tactics to invest in healthcare companies that it believes can benefit from China's favorable policies, or has strong

product pipeline, solid R&D capability, high barrier of entry, good track records, sound financial position, motivated management, strong competitive advantage, in combination with compelling valuation.

Greenwoods may also sell short index futures and/or stocks of companies in the healthcare sector that it considers overvalued or exhibit vulnerability to regulatory changes, weak financial position, poor management, unfavorable competitive advantage, and low growth potential.

Once target companies are identified, Greenwoods perform deep and thorough due diligence and investigation utilizing local resources, under its proprietary due diligence system, 360DD, to ensure solid understanding of target companies' growth potential, SWOT, quality of accounting book, risks, as well as the character and capability of their senior management. Moreover, Greenwoods believes it has built an extensive network of advisors of macro policies and various industries, who have insights on China's policies and industry outlook than most financial analysts, and are more up-to-date on the changes. So Greenwoods believes its team has deep understanding of the macro trends, policy developments, companies' strengthen and risk, and senior management's capability before making long or short decisions.

To achieve extraordinary performance, the Fund offers options for investors to elect to invest into a class with a "side pocket" limit for less liquid securities, such as bonds, PIPEs, pre-IPOs, and private equities. Performance fee will NOT be charged on any side pocket investment until a side-pocket investment is realized. Investments into side pickets are not redeemable until the investments are exited or liquidated, so investors who expect to need full redemption when redeeming from the Fund should invest into the class without the side-pocket capability.

Potential Risks （潜在风险）

As an equity fund, the Fund involves high risks, and Fund managers do not guarantee the Fund's principal and return. Some of the risks described in the Fund's Private Placement Memorandum (PPM) are summarized below, which does not cover all the risks of the Fund. Different risks are discussed in more details in PPM's "Risk Factors" section and other sections. Potential investors should carefully evaluate all the risks described within PPM and should consult their investment, legal, and tax advisors regarding these risks before commencing into any investment decisions.

Risk of Political and Economic Instabilities

Political and economic instability, as well as wars, riots, terrorist attacks, natural disasters and epidemic outbreaks, and other systemic events may have adverse effects on Fund performance.

Market Risk

Market fluctuations, suspension of stock trading, restrictions on foreign investor investment in securities and other market risks may affect the performance of the Fund.

Concentration Risk

The Fund is focused on investments in the medical and healthcare sector, which is not as diversified as funds investing into more than one sector;

Short-selling Risk

As part of hedge Fund investment and trading strategies, the Fund can sell short securities. Short selling may theoretically involve unlimited losses, as theoretically the price of securities may rise without limit. The Fund does not guarantee that it will not suffer losses due to short positions, and if the short-selling results in losses, there is no guarantee that these losses can be offset by the gains of any long positions.

Leverage Risk

As a hedge fund, the Fund uses leverage from time to time in the long and short selling process. The PPM has set limits of leverage, while leverage can still enlarge the risk of the Fund.

Risk of Investment in Small-cap Stocks

The Fund can invest in med- and small-cap securities. Compared with the securities of large, listed companies, the securities companies that have obtained such securities have relatively little research coverage and the liquidity of the stock may also be relatively low.

Derivative Instruments Risks

The Fund may use derivatives to establish or hedge positions, which may involve additional risks. In unfavorable circumstances, derivative tools may not be able to achieve the intended purpose effectively and may cause losses to the Fund.

Credit Risks

The Fund may invest in fixed income securities (such as bonds) issued by different companies and other entities. If so, the Fund may be exposed to the risk that individual issuers will default or fail to fulfill other obligations. Also, assets of the Fund may be custodized with prime broker(s) of the Fund, and the insolvency of any prime broker may affect the Fund's assets custodized with the prime broker.

Redemption Risks

If the investors redeem a large number of shares in the short term, it may cause the fund managers to have to rapidly liquidate securities, which may reduce the value of the Fund's assets or disrupt the investment manager's investment strategy.

Key Man Risk

The Fund's operations depend on the fund manager. If the key fund manager dies, leaves the company, loses legal capacity or goes bankrupt, or has major personnel changes, the operation of the Fund may be adversely affected.

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Selected Terms of the Fund（基金主要条款）

Manager Name:	George Jiang, CFA	Management Fee:	2% for Tranche A, C, D 1.5% for Tranche B	Structure:	Master with a US feeder and non-US feeder
Management Firm:	Greenwoods Asset Management Hong Kong Limited	Performance Fee:	20% for Tranche A, C, D (accrued monthly and payable annually) 17.5% for Tranche B (accrued monthly and payable every 36 months)	Style:	Long/Short Equities
Fund Name:	Greenwoods China Healthcare Fund	Lockup:	Tranche A, C, D (Soft lock-up in first 12-months w/ 5% penalty fee) Tranche B (36 months hard lock-up)	Domicile:	Cayman Islands
Inception Date:	June 1st, 2015	High Water Mark:	Yes	Hurdle Rate:	No
Benchmark:	MSCI China Healthcare Index	Minimum Investment:	US$1,050,000	Redemption:	Monthly (3-month notice)
Subscription:	3rd Business Day before the 1st Business Day of the following month	Administrator:	BNP Paribas Securities Services	Prime broker:	Goldman Sachs
Currency:	USD	Audit Date:	Year End	Auditor:	Ernst & Young
Geographic Focus:	Greater China	Side pocket investment(s):	Tranche B, C and D only	Legal Advisor:	Maples and Calder (Hong Kong) LLP; Dechert; Rajah & Tann Singapore LLP
Bloomberg Ticker :	GRCHHEA KY	ISIN:	KYG4105R1092 (Tranche A); KYG4105R1258 (Tranche C);	KYG4105R1175(Tranche B); KYG4105R1332 (Tranche D)	

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